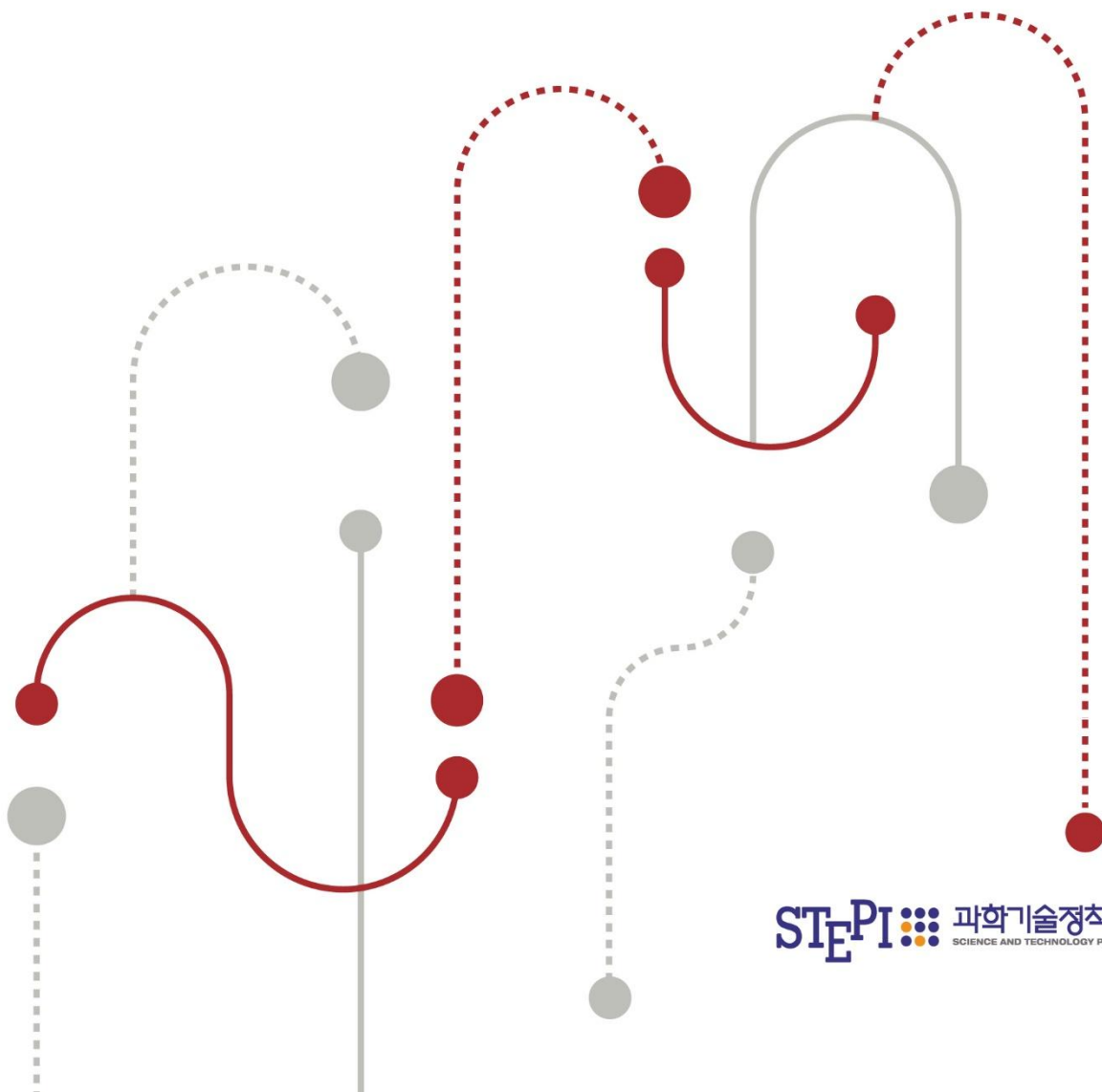


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Role and Challenges of Small Businesses from the Perspective of Transformative Innovation Policy



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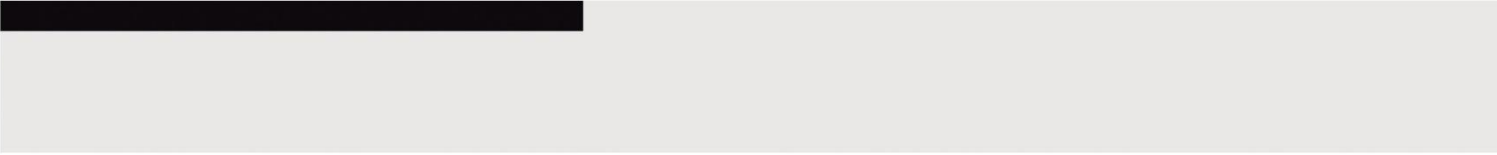
SUMMARY

Role and Challenges of Small Businesses from the Perspective of Transformative Innovation Policy

Jieun Seong·Hyejin Jo·Wichin Song

Small businesses are being reexamined as key agents of regional innovation and national growth amid complex crises including low birthrates, aging populations, regional decline, and structural low growth. As small businesses are increasingly included as major beneficiaries of AI and digital transformation policies, a paradigm shift toward strengthening innovation capabilities has begun in earnest. This report presents policy challenges for strengthening the role of small businesses and their innovation capabilities from the perspective of transformative innovation policy.

Recently administration has redefined small businesses as economic, cultural, and social innovation agents and established related policy foundations. Under the 'People's Sovereignty Government' initiative, small businesses are positioned as 'core agents of economic sovereignty' and 'public and social agents maintaining the community safety net', expanding their role beyond simple protection and support targets. Institutional foundations have also been established, including the designation of small businesses as AI support targets in Article 16 of the AI Basic Act, AI and digital support system construction under National Agenda No. 61, and the establishment of a dedicated vice-ministerial office for small business policy within the Ministry of SMEs and Startups. While the administration's small business policies show positive direction from a transformative innovation policy perspective - particularly in redefining small businesses as innovation agents and pursuing differentiated policies reflecting regional characteristics - fragmented support systems across ministries, limitations of individual firm-centered support, and the need to transition policy outcomes toward tangible social and economic impact remain 30 Summary as key challenges.



Small businesses account for 95.2% of all businesses and are core economic agents, yet structural vulnerabilities and insufficient innovation capabilities call for their growth as transformative innovation agents. Interview results indicate that most small businesses focus on livelihood and sales growth, with very low awareness of regional sustainability and public value creation. Meanwhile, success cases are emerging among entrepreneurial small businesses that combine local resources and culture with differentiated business models and AI utilization, highlighting the need for customized nurturing strategies to scale and model these cases.

Based on this analysis, this report proposes four policy challenges for strengthening transformative innovation activities of small businesses. First, mission-oriented innovation with differentiated approaches by target group is needed. Clear missions should be set for solving challenges such as regional depopulation, with mid-to-long-term innovation programs linking small business empowerment, digital capability building, financial support, and regulatory reform to social and economic impact creation. Entrepreneurial small businesses should be prioritized as initial targets, with successful models gradually scaled to subsistence-type small businesses. Second, strengthening small business innovation capabilities through AI utilization requires moving beyond supplier-centered one-time training toward customized education by industry and growth stage, living lab-based demand-driven solution co-design, and the establishment of field-oriented support systems that small businesses can tangibly experience. Third, responding to regional challenges and expanding roles as co-creation agents calls for linking small business innovation activities to regional challenges such as local revitalization, super-aging, and energy transition, while operating systematic programs to foster small businesses as active stakeholders and co-developers of regional innovation. Fourth, pursuing collective innovation through innovation ecosystem formation requires building shared resources at regional and sectoral levels, fostering participation of diverse agents including academic, cultural, and social economy organizations, and strengthening the intermediary role of middle support organizations that connect small businesses, government, businesses, universities, and research institutions.

